

Prime Minister's Employment Generation Programme

DRAFT FOR REVIEW | SCHEME | D001

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PMEGP helps eligible applicants establish new micro enterprises in non-farm activities through bank finance and margin-money subsidy. The business still needs a viable project, the required own contribution and a lender willing to sanction the loan.

Margin money is a back-ended subsidy linked to the financed project. It should not be treated as unrestricted cash available to spend before the enterprise is established.

What the published framework supports

The maximum project cost eligible for subsidy is ₹50 lakh for manufacturing and ₹20 lakh for the service or business sector. The applicable subsidy depends on the beneficiary category and whether the location is rural or urban. The published framework provides higher assistance for qualifying special categories.

The lender may consider finance beyond the subsidy-linked ceiling in permitted circumstances, but that does not extend subsidy to the additional amount. Capital expenditure and working capital also have separate constraints within the project cost.

A new enterprise must meet the activity rules

The normal new-unit route does not cover an existing business simply seeking reimbursement for earlier expenditure. Earlier government subsidy, the applicant's eligibility, education requirements for specified project sizes and the scheme's activity exclusions must be examined before filing.

Describe what the enterprise will manufacture or deliver, which machines and premises it needs, and how it will earn enough to meet operating expenses and loan repayment. A generic project report with an inflated machinery schedule weakens the lending case as well as the subsidy application.

Prepare the finance and application together

Assemble identity and category evidence where applicable, the project location, education records where required, quotations, premises arrangements and the funding plan. Separate the proposed assets from working capital and excluded items. The sales and expense assumptions should be explainable from the activity and intended market.

The application proceeds through the official PMEGP process and the relevant implementing agency and bank. Bank appraisal, training or other prescribed steps, implementation and verification are part of the route. A portal submission is not a sanction, and a loan sanction should not be confused with final subsidy adjustment.

For an existing PMEGP loan, retain the sanction, disbursement, margin-money and verification records before assessing any pending adjustment. The exact stage is more useful than a statement that

subsidy has “not arrived”.

Read the [revised PMEGP guidelines](#) and the [Government’s May 2026 PMEGP explanation](#). Confirm the current application process and applicable financial-year instructions with the implementing agency before committing to a submission schedule.

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. revised PMEGP guidelines

https://www.kviconline.gov.in/pmegpeportal/dashboard/notification/Revised_PMEGP_Scheme_Guidelines_07122023_compressed.pdf

2. Government’s May 2026 PMEGP explanation

<https://www.pib.gov.in/PressNoteDetails.aspx?ModuleId=3&NotelId=158608&id=158608&lang=1®=5>